NN Proposition NN: Keep and Spend Money for Education and Other Purposes

Placed on the ballot by the legislature • Passes with a majority vote

Ballot Title

Shall state investment in K-12 public education increase two percent each year for the next ten years, with investments used to increase teacher pay, improve teacher retention, lower class sizes, and increase access to career and technical courses, without raising taxes but instead funded by raising the annual limit on state fiscal year spending only by the amount spent on public K-12 education as a voter-approved revenue change, and requiring an annual publicly released, independent audit to show how the new investments are spent?

What Your Vote Means

YES A "yes" vote on Proposition NN allows the state to keep some or all of the revenue that otherwise would be refunded to taxpayers under TABOR. The retained revenue must be spent on K-12 education, programs that support children, and any other purposes.

NO A "no" vote on Proposition NN maintains current TABOR refunds and funding levels for K-12 education, programs that support children, and other state purposes.

132 Proposition 132: Increase Penalties for Fentanyl Crimes

Placed on the ballot by citizen initiative • Passes with a majority vote

Ballot Title

Shall there be a change to the Colorado Revised Statutes concerning criminal penalties for fentanyl and certain synthetic opioids, and, in connection therewith, increasing the felony classifications of drug-related crimes for distribution, manufacturing, dispensing, sale, or possession of fentanyl and certain synthetic opioids; creating mandated treatment for certain drug felony violations based on possession amount; and changing sentencing provisions to narrow or eliminate exemptions for crimes related to fentanyl and certain synthetic opioids and drug-related deaths?

What Your Vote Means

YES A "yes" vote on Proposition 132 makes possession of any amount of fentanyl a felony, requires a mandatory minimum 8-year prison sentence for any quantity of fentanyl distribution, and eliminates options to reduce penalties for certain possession and distribution offenses.

NO A "no" vote on Proposition 132 keeps minor possession charges of fentanyl a misdemeanor, maintains tiered felony penalties for fentanyl distribution based on drug quantity, and keeps options to reduce penalties for certain possession and distribution offenses.



Proposition NN: Keep and Spend Money for Education and Other Purposes

Placed on the ballot by the legislature • Passes with a majority vote

Proposition NN proposes amending the Colorado statutes to

- allow the state to keep some or all of the revenue that the state's constitutional revenue limit, also known as the Taxpayer's Bill of Rights (TABOR), would otherwise require to be refunded to taxpayers, up to the amount the state spends on public education; and
- spend the retained revenue to increase funding for K-12 education and programs that support children, and, after ten years, K-12 education and any other purposes to be determined by the state legislature.

What Your Vote Means

YES A "yes" vote on Proposition NN allows the state to keep some or all of the revenue that otherwise would be refunded to taxpayers under TABOR. The retained revenue must be spent on K-12 education, programs that support children, and any other purposes.

NO A "no" vote on Proposition NN maintains current TABOR refunds and funding levels for K-12 education, programs that support children, and other state purposes.

Summary and Analysis of Proposition NN

What does Proposition NN do?

Proposition NN allows the state to keep and spend revenue that would otherwise be refunded to taxpayers under TABOR, up to a newly established limit. The new limit is higher than the current limit and is based on the amount the state government spends on public education.

In the first ten years, this revenue must be spent on K-12 education and programs that support children. After ten years, the retained revenue must be spent on K-12 education and other purposes to be determined by the state legislature. The measure dedicates the K-12 education spending to teacher pay and retention, smaller class sizes, career and technical courses, school services, disability services, and more instructional hours, as described below. The retained revenue also must be spent to reimburse local governments for property tax exemptions, as required under current law.

The measure includes requirements for the state auditor and school districts to report on how the retained money is spent.

What is the TABOR limit and what are TABOR refunds?

The Colorado Constitution limits the amount of revenue the state government can collect each year. The limit is equal to the prior year's limit, adjusted for inflation plus population growth. This is known as the TABOR limit. Voters may give the state permission to keep and spend additional revenue above the TABOR limit.

If the amount of revenue the state collects in any year is above the TABOR limit, the excess amount must be refunded to taxpayers. These are called TABOR refunds, and they are distributed to taxpayers in several ways. For more information, see the Legislative Council Staff memorandum titled, "A Brief Overview of the TABOR Revenue Limit."[1]

TABOR refunds are often distributed when people file their taxes, but they are different from tax refunds that are owed when people overpay their taxes. Tax refunds are not affected by this measure.

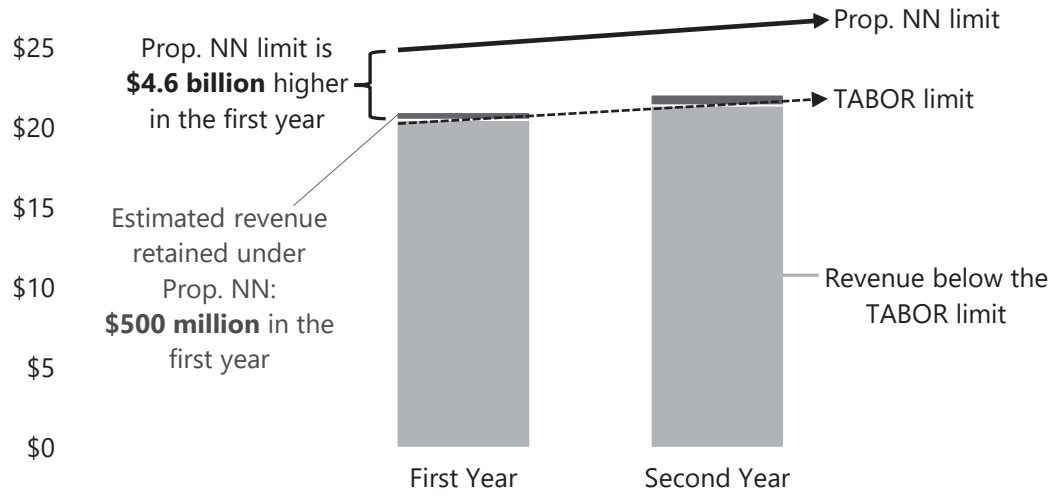
How much revenue will the state keep and spend under Proposition NN?

Under Proposition NN, the maximum amount the state may keep is equal to the current TABOR limit, plus the highest amount the state has spent on K-12 education from certain funding sources in previous years. This is referred to as the Proposition NN limit in this analysis.

The actual amount the state will keep depends on how much revenue it collects. For example, in the first year, the measure allows the state to keep up to $4.6 billion above the current TABOR limit. However, the state is estimated to actually keep about $500 million, which is the amount of revenue the state is expected to collect above the TABOR limit. This is shown in Figure 1 below.

Figure 1
State Revenue Limits Under Proposition NN

Budget Years 2026-27 and 2027-28
Dollars in Billions



[1] Online at: leg.colorado.gov/bluebook

The Proposition NN limit continues indefinitely. Any revenue above the new Proposition NN limit must be refunded to taxpayers.

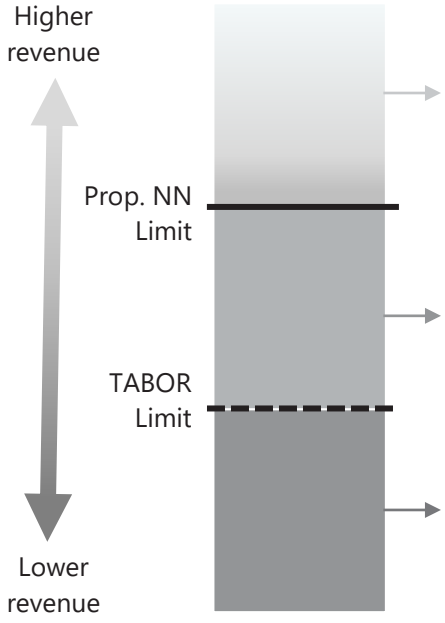
In later years, the Proposition NN limit is expected to grow faster than the current TABOR limit based on the amount the state legislature allocates for K-12 education. State revenue is expected to continue to be well below the Proposition NN limit in the next several years, and is not expected to exceed the Proposition NN limit for at least the next five to ten years. Long-term projections beyond that period are uncertain.

How does Proposition NN impact TABOR refunds?

Proposition NN's impact on TABOR refunds depends on how much money the state collects above the current TABOR limit in a given year, and how much the state spent on public education in prior years. Figure 2 shows the range of possible TABOR refund impacts, which will vary from year to year.

Under current estimates, revenue in the next several years is expected to exceed the current TABOR limit but not the new Proposition NN limit, which would eliminate TABOR refunds in these years, as described in Scenario 2 in the figure below.

Figure 2
Scenarios for TABOR Refund Changes



Scenario 1 – Revenue exceeds the Prop. NN limit
In years when state revenue exceeds the new Prop. NN limit, **Prop. NN reduces TABOR refunds**. Revenue is not likely to exceed the Prop. NN limit in the first several years, but this scenario becomes more likely over time.

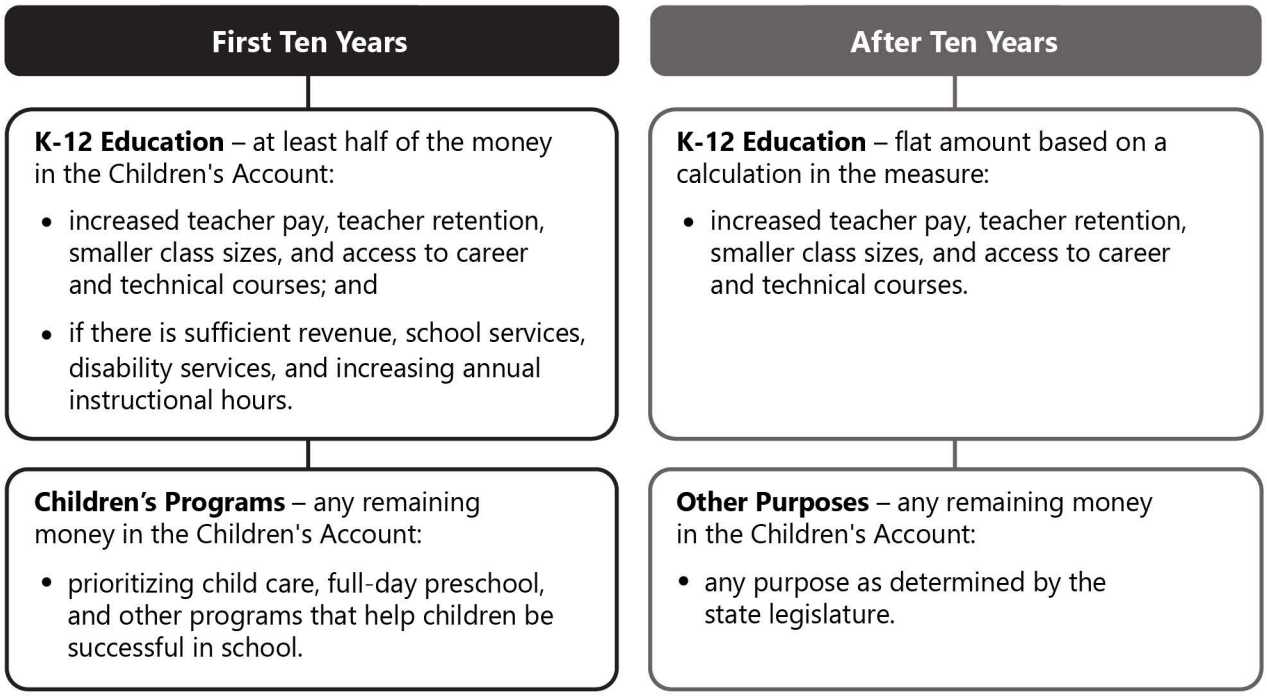
Scenario 2 – Revenue exceeds the TABOR limit, but not the Prop. NN limit
In years when state revenue exceeds the current TABOR limit and is less than the new Prop. NN limit, **Prop. NN eliminates TABOR refunds**. This is the most likely scenario for the next several years, unless there is a recession.

Scenario 3 – Revenue falls below the TABOR limit
In years when state revenue falls below the current TABOR limit, which may happen during a recession, **Prop. NN has no impact on TABOR refunds**, as refunds would not be made under current law.

How will the retained revenue be spent?

Proposition NN specifies how revenue retained above the current TABOR limit must be spent. The revenue must first be used to reimburse local governments for the lost tax revenue from property tax exemptions for seniors, veterans with a disability, and Gold Star surviving spouses, as is already required as a TABOR refund mechanism under current law. All remaining revenue is deposited into the newly created Children's Account. Figure 3 shows new spending requirements under Proposition NN.

Figure 3
New Spending Requirements Under Proposition NN



How will the K-12 funding be used?

Money in the Children's Account must first be used for increased teacher pay and retention, access to career and technical courses, and smaller class sizes. This money will be distributed to school districts and charter schools that then decide how to spend this money within allowable uses. They must post downloadable, sortable information online about how they spent the money.

The amount required to be spent for these purposes will grow each year for ten years, and then remain flat in later years. The amount is expected to be about $110 million in the first year, $220 million in the second year, and may grow to between $1 billion and $2 billion per year by the end of ten years. These amounts are only paid if enough revenue is retained.

For the first ten years, if the amount spent on teacher pay and retention, career and technical courses, and smaller class sizes is less than half the amount in the account, then the measure requires additional spending on disability services, school services, and increasing instructional hours, such that at least half the amount in the account is spent on K-12 education overall. Funding for disability services, school services, and increasing instructional hours is estimated at about $130 million in the first year and $20 million in the second year. The state legislature will determine how to allocate these funds to schools and districts.

How will the money for children's programs be used?

In the first ten years, any money remaining in the account after K-12 spending must be spent on programs that support children, prioritizing full-day preschool, child care, and other programs that help

children be successful in school. The state legislature will determine how to spend this money, which is estimated to be about $240 million in the first year and $230 million in the second year.

How will funding allocations change after the first ten years?

After ten years, the measure requires that a flat amount be dedicated to K-12 education each year for increased teacher pay and retention, access to career and technical education, and smaller class sizes. Any remaining money in the Children's Account may be spent on any purpose as determined by the state legislature.

How does Proposition NN interact with other measures?

Proposition 137 reduces the amount of revenue the state collects that is subject to the TABOR limit. This measure will not affect the Proposition NN limit. However, if the measure passes, the amount of money the state will actually keep and spend under Proposition NN may be reduced or eliminated.

Arguments For Proposition NN

1) Proposition NN raises teacher pay, reduces class sizes, and improves career and technical education, benefitting every school district in the state. A state study found that Colorado's schools face a funding shortfall of $3.5 billion, or about $4,000 per pupil. Proposition NN redirects money the state already collects to Colorado's kids and classrooms, keeping experienced teachers in the classroom and expanding course options and support. The measure pairs the investment schools need with the accountability taxpayers deserve.

2) Proposition NN frees up funds that should already be supporting Colorado's children. The price of educating and caring for a child grows year after year, and the current revenue limit does not keep pace. As a result, the state is falling behind on the services that families depend on most. Permanent relief from this limit is long overdue. Proposition NN uses existing revenue to address the real and rising costs of child care, universal preschool, and other early childhood needs.

Arguments Against Proposition NN

1) Proposition NN is essentially a tax increase, permanently eliminating or reducing TABOR refunds. TABOR refunds are a taxpayer right. Eliminating or sharply reducing those refunds means that government will keep more of the money that families earn. For households already stretched thin, losing TABOR refunds is a significant financial hit. TABOR was enshrined in the state constitution to protect taxpayers against unchecked government growth.

2) Proposition NN eventually hands the state over $5 billion per year at the expense of Colorado families. Funding for Colorado schools has increased 25 percent over the last five years, while enrollment continues to decline. Before reaching deeper into taxpayers' pockets, the government should demonstrate it has exhausted every avenue to reduce wasteful spending, eliminate redundant programs, and deliver existing services more efficiently.

Information about the organizations supporting and opposing this measure is available on the Colorado Secretary of State's website:

www.coloradosos.gov/pubs/elections/Initiatives/ballot/contacts/2026.html

Fiscal Impact of Proposition NN

Taxpayer Impacts

Proposition NN is expected to reduce the amount refunded to taxpayers by $329.9 million in the current 2026-27 budget year, $521.0 million in the 2027-28 budget year, and by varying amounts in future years. This eliminates TABOR refunds for budget years 2026-27 and 2027-28. Table 1 shows estimated TABOR refunds under Proposition NN for certain income levels.

Table 1
Estimated TABOR Refunds for Certain Income Levels

Adjusted Gross Income	2027 Refund Current Law: Single Filers	2027 Refund Current Law: Joint Filers	2027 Refund Prop. NN: All Filers	2028 Refund Current Law: Single Filers	2028 Refund Current Law: Joint Filers	2028 Refund Prop. NN: All Filers
$50,000	$21	$42	$0	$39	$58	$0
$75,000	$28	$56	$0	$58	$86	$0
$100,000	$28	$56	$0	$68	$96	$0
$200,000	$38	$76	$0	$121	$162	$0
$500,000	$65	$130	$0	$276	$352	$0

Note: This table assumes that taxpayers claim the standard deduction and no other deductions. This table shows TABOR refunds for individual taxpayers, not corporations. Corporations are not expected to receive TABOR refunds in 2027, and are expected to receive smaller TABOR refunds than individuals at the same income level in 2028.

A forecast of state revenue subject to TABOR is not available beyond budget year 2027-28. The impact of Proposition NN on TABOR refunds will vary significantly across different years, such that it could have no impact on TABOR refunds in some years and reduce them by over $1,000 per taxpayer in other years. The actual amount that the measure reduces TABOR refunds will depend on how much money the state collects above the current TABOR limit in future years.

State Spending

The measure increases state spending by an estimated $329.9 million in budget year 2026-27 and $521.0 million in budget year 2027-28 on net, and by varying amounts in future years. Changes in state spending are shown in Table 2.

Table 2
Changes in State Spending Under Proposition NN

Use	Current Year 2026-27	Budget Year 2027-28
Property Tax Reimbursements	$0	$206.1 million
K-12 Education	$241.5 million	$234.0 million
Programs That Support Children	$241.5 million	$234.0 million
General Government Purposes	-$153.1 million	-$153.1 million
Office of State Auditor	$0	$20,000
Total Change in Spending	**$329.9 million**	**$521.0 million**

As shown in Table 2, $153.1 million that would be available for the general state budget under current law is instead deposited in the Children's Account for budget years 2026-27 and 2027-28 only. This reduces General Fund spending in each of these two years.

Long-term spending. After ten years, there is no longer a requirement for half of the money in the account to be spent on K-12 education and half on children's programs. Beginning in the 2036-37 budget year, the measure increases state spending for property tax reimbursements and funding for teacher pay and retention, smaller class sizes, and career and technical education. Any remaining funds may be used for any purposes as determined by the state legislature.

School Districts

Proposition NN increases state funding for school districts by an estimated $241.5 million in budget year 2026-27 and $234.0 million in budget year 2027-28. Funding for teacher pay and retention, smaller class sizes, and career and technical education will be distributed based on each school district's percentage of statewide school finance funding under the state's new school finance formula. Funding for school services, disability services, and increasing annual instructional hours will be distributed in a manner determined by the state legislature.

Proposition NN
Keep and Spend Money for Education and Other Purposes

The ballot title below is a summary drafted by the professional legal staff for the general assembly for ballot purposes only. The ballot title will not appear in the Colorado Revised Statutes. The text of the measure that will appear in the Colorado Revised Statutes below was referred to the voters because it passed by a majority vote of the state senate and the state house of representatives.

Ballot Title:
Shall state investment in K-12 public education increase two percent each year for the next ten years, with investments used to increase teacher pay, improve teacher retention, lower class sizes, and increase access to career and technical courses, without raising taxes but instead funded by raising the annual limit on state fiscal year spending only by the amount spent on public K-12 education as a voter-approved revenue change, and requiring an annual publicly released, independent audit to show how the new investments are spent?

Text of Measure:
Be it enacted by the General Assembly of the State of Colorado:
SECTION 1. Legislative declaration. (1) The general assembly finds and declares that:
(a) Public education is the bedrock of Colorado's democracy, fundamental to individual opportunity, the underpinning of thriving communities, and the key to Colorado's economic prosperity and future;
(b) Wise and adequate investment in Colorado's schools is essential to maintaining and improving the competitiveness of Colorado and its students;
(c) The money invested in Colorado's public schools has a return on investment that has long been recognized as among the nation's highest;
(d) An increase in the rates of K-12 graduation, the earning of industry certifications, and the earning of associates degrees demonstrate the effectiveness of Colorado's investment in public schools;
(e) Research demonstrates that increasing school funding results in long-term increases in graduation rates and lifetime wages, prevents crime, and lowers incarceration rates;
(f) Educators and support staff in every school district and charter school across Colorado make invaluable contributions to their schools, districts, and communities by dedicating their time, talents, and out-of-pocket money to their students, despite Colorado ranking near the bottom of starting teacher pay and having the largest teacher pay penalty in the nation;
(g) Teachers, counselors, para professionals, bus drivers, and essential support staff are leaving their professions because salaries have not kept up with housing, healthcare, and cost of living;
(h) Students are learning in overcrowded classrooms and in schools with fewer mental health counselors, opportunities for special education support, and programs that support their ability to develop into healthy, productive adults;
(i) Working class, multilingual, and rural communities are hit hardest by chronic school underfunding;
(j) In January 2025, the legislature received the reports and recommendation of the two commissioned adequacy studies: "Equity and Adequacy of Colorado School Funding - A Cost-Modeling Approach", by the American institutes for research, and "Colorado Input-Based Financial Adequacy Study Report", by Augenblick, Palaich and Associates, Inc;
(k) The adequacy studies found that, were Colorado schools funded fully and fairly, every student would have the individual attention they need from teachers, counselors, health professionals, tutors, and support staff to succeed and thrive; every teacher would have a reasonable workload, professional development and coaching, and a salary that would allow them to live where they work; and every community would enjoy the benefit of vibrant public schools, a high-quality workforce, and an engaged citizenry;
(l) Colorado's fiscal constraints and potential of federal funding cuts to education, medicaid, nutrition, human services, and other critical programs threaten the sustainability and adequacy of school funding in Colorado and to deplete the state education fund;
(m) Research demonstrates that high-quality early childhood education, including child care and preschool, produces significant long-term benefits, including improved school readiness, higher graduation rates, and greater lifetime earnings, and that every dollar invested in high-quality childhood education yields substantial returns to the state and its communities;
(n) Children who participate in high-quality preschool and child care programs arrive in kindergarten better prepared to learn across language, math, and social-emotional domains, with the greatest benefits accruing to children from working families, rural communities, and multilingual households; and
(o) Therefore, it is in the best interest of educators, students, and their families to allow voters to invest further in

public education by modernizing the state's ability to retain and spend revenue to meet the needs of Colorado communities and to ensure that state investment in K-12 public education is increased by two percent for at least ten years through the funding of a positive factor.

SECTION 2. In Colorado Revised Statutes, **add** 22-54-103.7 as follows:

22-54-103.7. Positive factor - definitions.

(1) As used in this section, unless the context otherwise requires:

(a) "New formula district total program calculation" means a district's total program for the applicable budget year as calculated pursuant to the district total program formula in section 22-54-103.5. The term does not include any adjustments required pursuant to section 22-54-103.3 when determining a district's total program for the 2027-28 budget year through the 2030-31 budget year.

(b) "New formula statewide total program calculation" means the district total program for all districts for the applicable budget year as calculated pursuant to the district total program formula in section 22-54-103.5. The term does not include any adjustments required pursuant to section 22-54-103.3 when determining a district's total program for the 2027-28 budget year through the 2030-31 budget year.

(c) "Positive factor" means:

(I) For the 2026-27 budget year, two percent of program foundation calculated for the 2025-26 budget year;

(II) For the 2027-28 budget year through the 2034-35 budget year, the sum of:

(A) Two percent of program foundation for the immediately preceding budget year; and

(B) The positive factor for the immediately preceding budget year; and

(III) For the 2035-36 budget year and each budget year thereafter:

(A) Two percent of program foundation for the 2034-35 budget year; and

(B) The positive factor for the 2034-35 budget year.

(d) "Program foundation" means:

(I) For budget years before total program is determined pursuant to section 22-54-103.5, an amount equal to state share of total program; and

(II) For budget years when total program is determined pursuant to section 22-54-103.5, an amount equal to new formula statewide total program calculation.

(e) "State share of total program" means an amount equal to the total of the state's share of each school district's total program, as defined in section 22-55-102 (18).

(f) "Two percent K-12 public education increase" means an amount equal to the lesser of:

(I) The positive factor for the current budget year; or

(II) The amount that the state is authorized to retain and spend pursuant to section 24-77-302 (1) for the budget year minus, for the 2027-28 budget year and each budget year thereafter, an amount equal to the total dollar amounts of warrants issued by the state treasurer pursuant to section 39-3-207 (4) in the current budget year.

(2) For the 2026-27 budget year and each budget year thereafter, a district's share of positive factor is equal to:

(New formula district total program calculation / New formula statewide total program calculation) x (Two percent K-12 public education increase).

(3) For the 2026-27 budget year and each budget year thereafter, the department of education shall annually calculate each district's new formula district total program calculation and the new formula statewide total program calculation.

(4) For the 2026-27 budget year and each budget year thereafter, the department of education and the staff of the legislative council shall annually determine each district's positive factor based on budget projections; except that the department of education and the staff of the legislative council shall make mid-year revisions to replace projections with actual figures to determine any necessary changes in the amount to maintain the positive factor for the applicable budget year.

(5) A district's positive factor is in addition to, but is not included in, the district's total program determined pursuant to this article 54. The positive factor must be distributed in the same form and manner in which payments of total program are distributed under law to all public schools.

(6) A district shall only expend its positive factor to:

(a) Increase teacher pay;

(b) Improve teacher retention;

(c) Lower class sizes; and

(d) Increase access to career and technical courses.

SECTION 3. In Colorado Revised Statutes, **add** part 3 to article 77 of title 24 as follows:

PART 3
SUBMISSION OF BALLOT ISSUE
VOTER-APPROVED REVENUE CHANGE

24-77-301. Definitions.

As used in this part 3, unless the context otherwise requires:

(1) "Children's account" or "account" means the children's account created in section 24-77-302 (2).

(2) "State public education funding" means the amount determined by legislative council staff pursuant to section 24-77-303 (1).

(3) "State revenues" means state fiscal year spending, as defined in section 24-77-102 (17).

(4) "Two percent K-12 public education increase" has the meaning set forth in section 22-54-103.7 (1)(f).

24-77-302. Retention of excess state revenues - children's account - definitions.

(1) For state fiscal years commencing on or after July 1, 2026, the state may retain and spend state revenues that the state otherwise would have been required to refund under section 20 (7)(d) of article X of the state constitution in an amount equal to the state public education funding for the state fiscal year.

(2) (a) There is hereby created in the general fund the children's account, which consists of:

(I) For state fiscal year 2026-27, an amount of money equal to the amount that the state retains for state fiscal year 2026-27 pursuant to subsection (1) of this section; and

(II) For state fiscal years commencing on or after July 1, 2027, an amount of money equal to the amount that the state retains for the state fiscal year pursuant to subsection (1) of this section minus an amount equal to the total dollar amount of warrants issued by the state treasurer pursuant to section 39-3-207 (4) in the same state fiscal year.

(b) For each state fiscal year beginning on or after July 1, 2026, but before July 1, 2036, the general assembly:

(I) Shall transfer or appropriate to the department of education an amount equal to the two percent K-12 public education increase for the state fiscal year and the department of education shall distribute that amount in accordance with section 22-54-103.7;

(II) Shall appropriate or transfer an amount for investment in K-12 public education, to be used for school services, disability services to students with disabilities, and increasing annual contact hours, equal to the amount, if any, by which one half of the amount credited to the account for the state fiscal year exceeds the amount appropriated or transferred pursuant to subsection (2)(b)(I) of this section for the state fiscal year; and

(III) After making the appropriations or transfers required by subsections (2)(b)(I) and (2)(b)(II) of this section for the state fiscal year, shall appropriate or transfer the remaining money in the account to programs that support Colorado's children, prioritizing child care, full-day preschool, and other programs that prepare children to be successful in school.

(3) The approval of the ballot measure including this section by a majority of the electors voting on the ballot measure constitutes a voter-approved revenue change to allow the retention and expenditure of the additional state revenues that the state is authorized to retain and spend pursuant to subsection (1) of this section.

(4) This section does not affect the amount that the state is permitted to retain and spend under the excess state revenues cap, as defined in section 24-77-103.6 (6)(b)(I).

(5) The money that the general assembly appropriates or transfers pursuant to subsection (2)(b)(I) of this section shall supplement and not supplant total program, as defined in section 22-55-102 (18).

24-77-303. Determination of state public education funding.

(1) On or before January 15, 2027, on or after July 1, 2027, but before August 1, 2027, and on or after each July 1 and before each August 1 thereafter, legislative council staff shall determine and report to the state controller, the office of state planning and budgeting, and the joint budget committee, the greatest total amount in a preceding state fiscal year that has been counted as state fiscal year spending and appropriated by the general assembly for a preceding state fiscal year for categorical programs and the state share of total program and the amount of the two percent K-12 public education increase for the same preceding state fiscal year. The amount determined and reported by legislative council staff pursuant to this subsection (1) is the state public education funding for that state fiscal year.

(2) As used in this section, unless the context otherwise requires:

(a) "Categorical programs" has the meaning set forth in section 22-55-102 (4).

(b) "State share of total program" means an amount equal to the total of the state's share of each school district's total program, as defined in section 22-55-102 (18).

24-77-304. Excess state revenues expenditure independent audit.
(1) For each state fiscal year that the state retains and spends state revenues in excess of the limitation on state fiscal year spending pursuant to this part 3, the state auditor shall report on excess state revenues, including the following information:
(a) The amount of state revenues that the state retained and spent in excess of the limitation on state fiscal year spending pursuant to this part 3; and
(b) A description of how the state expended from the account the state revenues that the state retained and spent in excess of the limitation on state fiscal year spending pursuant to this part 3.
(2) The state auditor shall complete the reporting required by subsection (1) of this section at the same time that the state auditor completes the report required pursuant to section 2-3-103 (2) following a fiscal year in which the state retains and spends state revenues in excess of the limitation on state fiscal year spending pursuant to this part 3 and may amend the report thereafter as necessary.
SECTION 4. In Colorado Revised Statutes, 22-44-304, **add** (1)(g) as follows:
22-44-304. Financial reporting - online access to information - definitions.
(1) (g) (I) Additionally, commencing on August 1, 2027, each local education provider, as defined in section 22-54-202, shall post in a format that can be downloaded and sorted, for free public access, the local education provider's actual expenditures of any positive factor received pursuant to section 22-54-103.7.
(II) As used in this subsection (1)(g), unless the context otherwise requires, "positive factor" has the meaning set forth in section 22-54-103.7 (1)(c).
SECTION 5. In Colorado Revised Statutes, 24-77-106.5, **amend** (1)(b) as follows:
24-77-106.5. Annual financial report - certification of excess state revenues.
(1) (b) Notwithstanding section 24-1-136 (11)(a)(I), based upon the financial report prepared in accordance with subsection (1)(a) of this section for any given fiscal year, the controller shall certify to the governor, the general assembly, and the executive director of the department of revenue no later than September 1 following the end of a fiscal year the amount of state revenues in excess of the limitation on state fiscal year spending imposed by section 20 (7)(a) of article X of the state constitution, if any, for such fiscal year and the state revenues in excess of such limitation that the state is authorized to retain and spend pursuant to voter approval of section 24-77-103.6 and part 3 of this article 77.
SECTION 6. In Colorado Revised Statutes, 29-32-104, **amend** (5) as follows:
29-32-104. Permissible expenditures - affordable housing programs - report - definitions.
(5) If the Legislative Council Staff's March Economic and Revenue Forecast in any given year projects revenue for the next state fiscal year will fall below the revenue limit imposed under section 20 of article X of the state constitution by an amount greater than the amount of state public education funding as defined in section 24-77-301 (2), the general assembly may reduce the funding allocated to the office required by this section for the next state fiscal year in order to balance the state budget for said state fiscal year.
SECTION 7. In Colorado Revised Statutes, 39-22-123.5, **amend** (3.5)(a)(VIII) as follows:
39-22-123.5. Earned income tax credit - legislative declaration - repeal.
(3.5) (a) As used in this subsection (3.5), unless the context otherwise requires:
(VIII) "Nonexempt revenue" means, for the applicable state fiscal year, the revenues that are identified as nonexempt revenues in the annual comprehensive financial report published by the office of the state controller; except that, for state fiscal years commencing on or after July 1, 2026, nonexempt revenue includes state public education funding as defined in section 24-77-301 (2).
SECTION 8. In Colorado Revised Statutes, 39-22-130, **amend** (2)(b)(II)(G) as follows:
39-22-130. Family affordability tax credit - tax preference performance statement - legislative declaration - definitions - repeal.
(2) As used in this section, unless the context otherwise requires:
(b) (II) As used in this subsection (2)(b):
(G) "Nonexempt revenue" means, for the applicable state fiscal year, the revenue that is identified as nonexempt TABOR revenues in the annual comprehensive financial report published by the office of the state controller; except that, for state fiscal years commencing on or after July 1, 2026, nonexempt revenue includes state public education funding as defined in section 24-77-301 (2).
SECTION 9. Refer to people under referendum. At the election held on November 3, 2026, the secretary of state shall submit this act by its ballot title to the registered electors of the state for their approval or rejection. Each elector voting at the election may cast a vote either "Yes/For" or "No/Against" on the following ballot title: "Shall state investment in K-12 public education increase two percent each year for the next ten years, with investments used to increase teacher pay, improve teacher retention, lower class sizes, and increase access to career and

technical courses, without raising taxes but instead funded by raising the annual limit on state fiscal year spending only by the amount spent on public K-12 education as a voter-approved revenue change, and requiring an annual publicly released, independent audit to show how the new investments are spent?" Except as otherwise provided in section 1-40-123, Colorado Revised Statutes, if a majority of the electors voting on the ballot title vote "Yes/For", then the act will become part of the Colorado Revised Statutes.

Proposition 132
Increase Penalties for Fentanyl Crimes

The ballot title below is a summary drafted by the professional staff of the offices of the secretary of state, the attorney general, and the legal staff for the general assembly for ballot purposes only. The ballot title will not appear in the Colorado Revised Statutes. The text of the measure that will appear in the Colorado Revised Statutes below was drafted by the proponents of the initiative. The initiated measure is included on the ballot as a proposed change to current law because the proponents gathered the required amount of petition signatures.

Ballot Title:
Shall there be a change to the Colorado Revised Statutes concerning criminal penalties for fentanyl and certain synthetic opioids, and, in connection therewith, increasing the felony classifications of drug-related crimes for distribution, manufacturing, dispensing, sale, or possession of fentanyl and certain synthetic opioids; creating mandated treatment for certain drug felony violations based on possession amount; and changing sentencing provisions to narrow or eliminate exemptions for crimes related to fentanyl and certain synthetic opioids and drug-related deaths?

Text of Measure:
Be it Enacted by the People of the state of Colorado:
SECTION 1. In Colorado Revised Statutes, 18-18-102, **add** (35.5) as follows:
18-18-102. Definitions.
As used in this article 18:
(35.5) "Level 4 treatment-mandated drug felony" means a level 4 drug felony that is eligible to be vacated following successful completion of court-ordered treatment for drug rehabilitation according to the provisions of section 18-1.3-103.5.
SECTION 2. In Colorado Revised Statutes, **repeal and reenact, with amendments,** 18-18-405 as follows:
18-18-405. Unlawful distribution, manufacturing, dispensing, or sale.
(1)(a) Except as authorized by part 1 of article 280 of title 12, part 2 of article 80 of title 27, part 2 or 3 of this article 18, section 18-18-434, article 170 of title 12, or article 50 of title 44, it is unlawful for any person knowingly to manufacture, dispense, sell, or distribute, or to possess with intent to manufacture, dispense, sell, or distribute, a controlled substance; or induce, attempt to induce, or conspire with one or more other persons, to manufacture, dispense, sell, distribute, or possess with intent to manufacture, dispense, sell, or distribute, a controlled substance; or possess one or more chemicals or supplies or equipment with intent to manufacture a controlled substance.
(b) As used in this subsection (1), "dispense" does not include labeling, as defined in section 12-280-103 (23).
(2) Except as otherwise provided for an offense concerning marijuana and marijuana concentrate in section 18-18-406 and for special offenders as provided in section 18-18-407, a person who violates any of the provisions of subsection (1) of this section:
(a) Commits a level 1 drug felony and is subject to the mandatory sentencing provisions in section 18-1.3-401.5 (7) if:
(I) The violation involves any material, compound, mixture, or preparation that weighs:
(A) More than two hundred twenty-five grams and contains a schedule I or schedule II controlled substance; or
(B) More than one hundred twelve grams and contains methamphetamine, heroin, ketamine, or cathinones; or
(C) More than fifty milligrams and contains flunitrazepam; or
(D) Any amount and contains fentanyl, carfentanil, benzimidazole opiate, or an analog thereof as described in section 18-18-204 (2)(g); or
(II) An adult sells, dispenses, distributes, or otherwise transfers any quantity of a schedule I or schedule II controlled substance or any material, compound, mixture, or preparation that contains any amount of a schedule I or schedule II controlled substance, other than marijuana or marijuana concentrate, to a minor and the adult is at least two years older than the minor;